

CAIM | CROWN AGENTS INVESTMENT MANAGEMENT

UK AND EUROPEAN BONDS

OCTOBER 2026

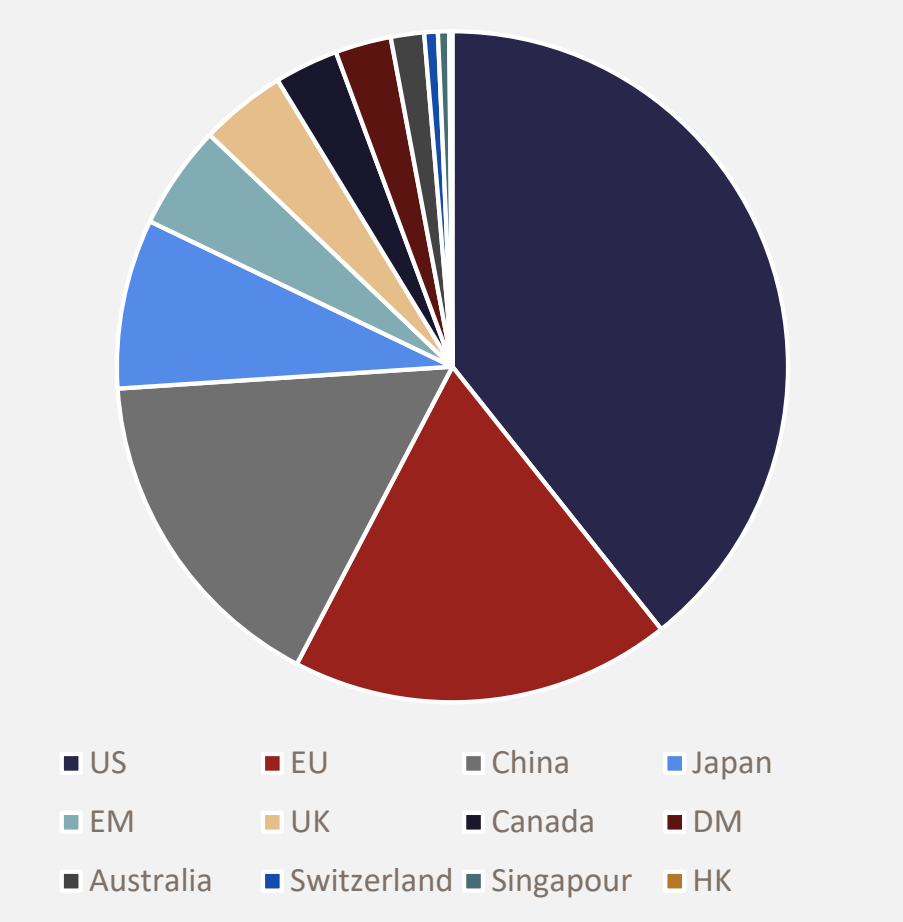
Charles Thomson
Head of Portfolio Management

GLOBAL FIXED INCOME MARKET OUTSTANDING

CAIM | CROWN AGENTS INVESTMENT MANAGEMENT

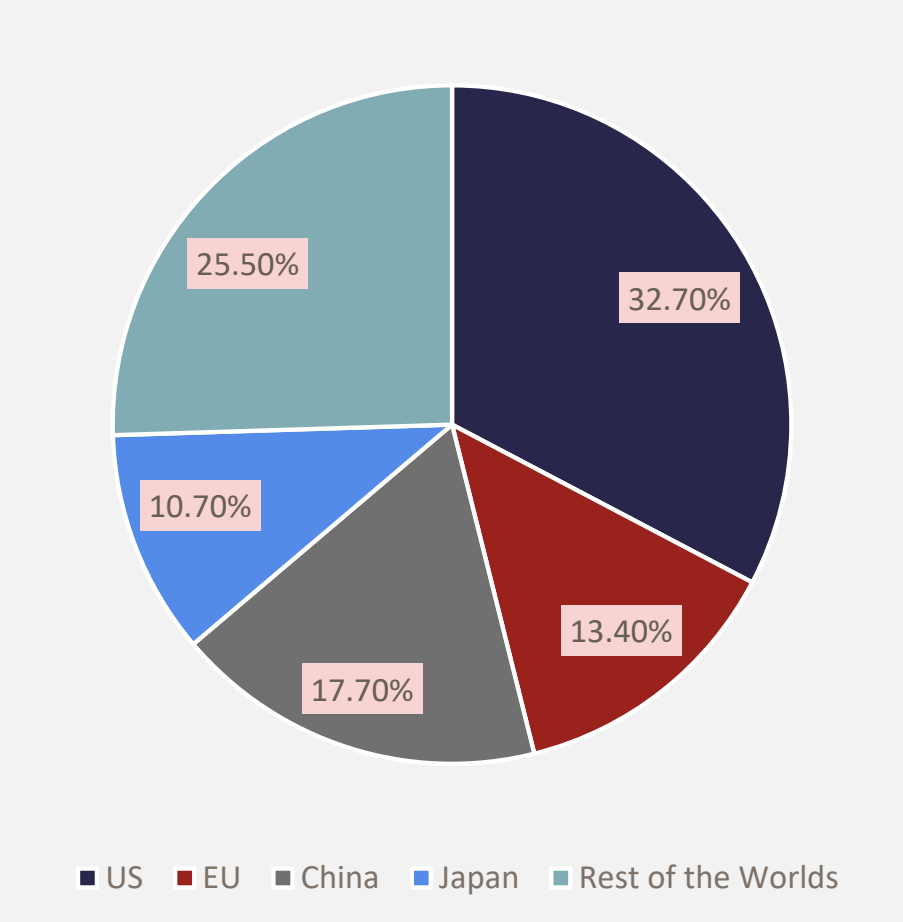
As of the end of 2025 the size of the global fixed income market exceeded $161tn

The size of the US part has grown to over $61.2tn



Source: BIS,SIFMA, September 2026

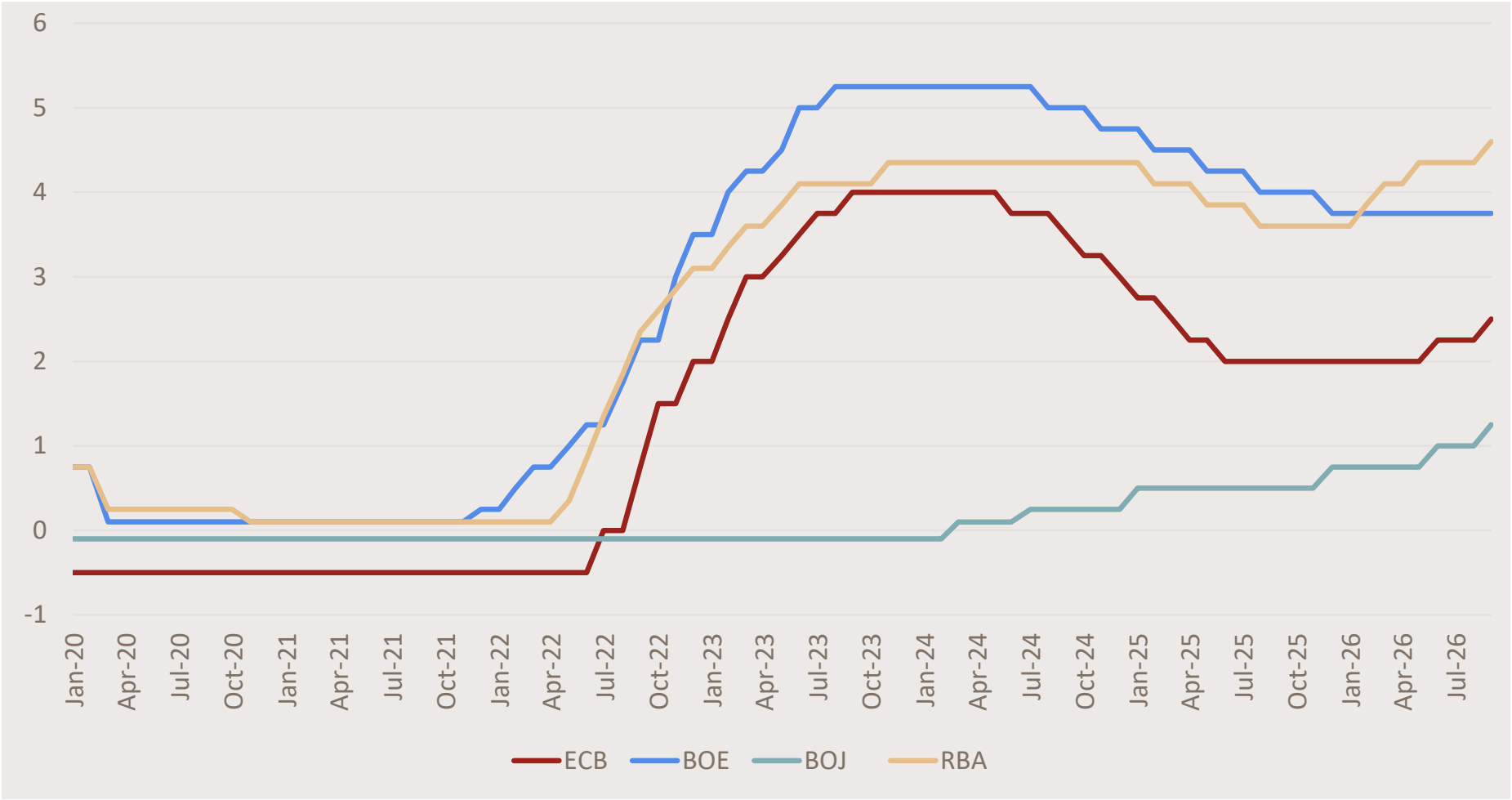
Government bonds represent the single largest segment of the fixed income market at 56% of total outstanding debt



Source: Bloomberg LLP, September 2026

GLOBAL SHORT TERM INTEREST RATES

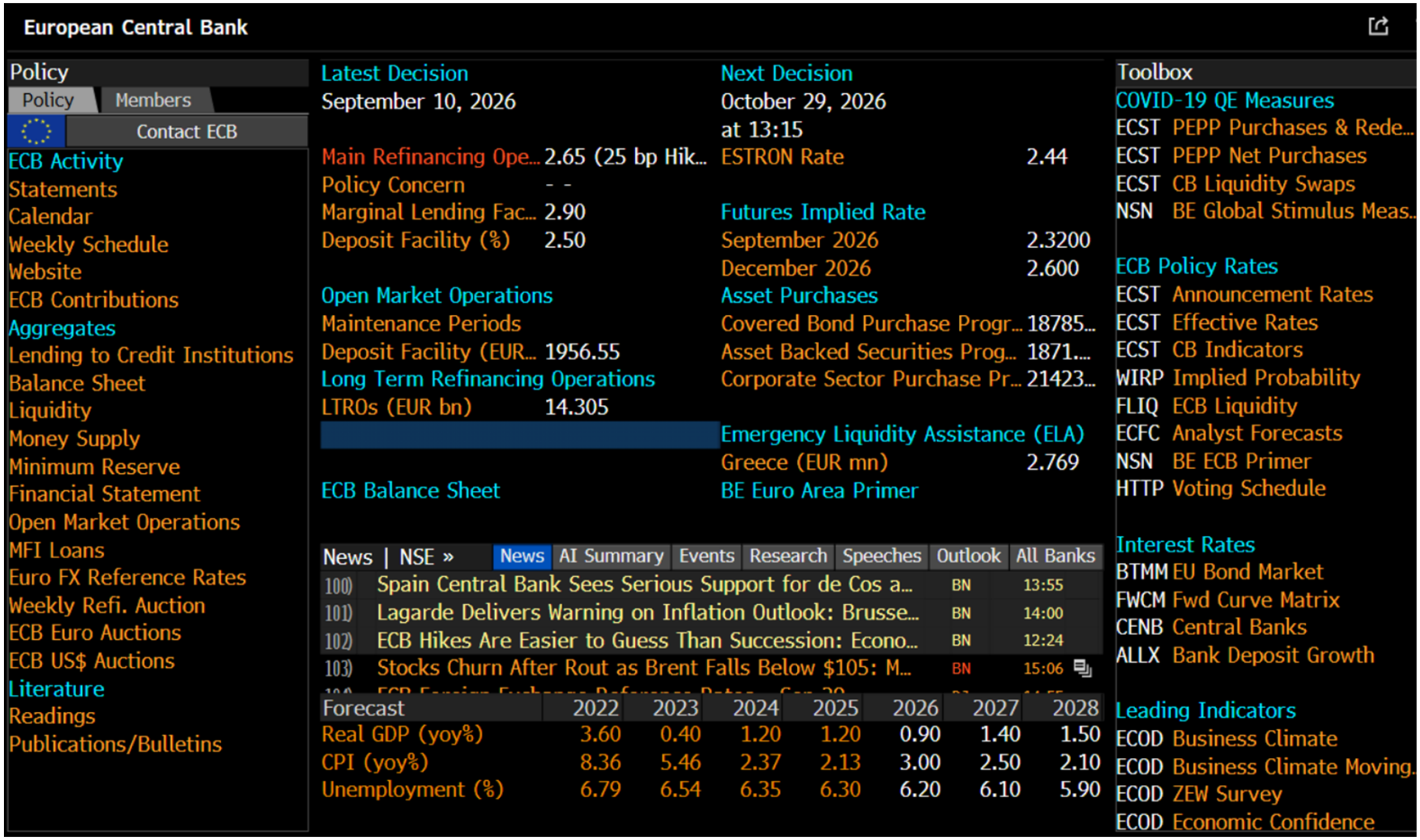
Short term interest rates now being hiked…



Source: Bloomberg LLP, September 2026

EUROPEAN CENTRAL BANK

Bloomberg page ECB shows key data



Source: Bloomberg LLP, ECB, September 2026

BANK OF ENGLAND

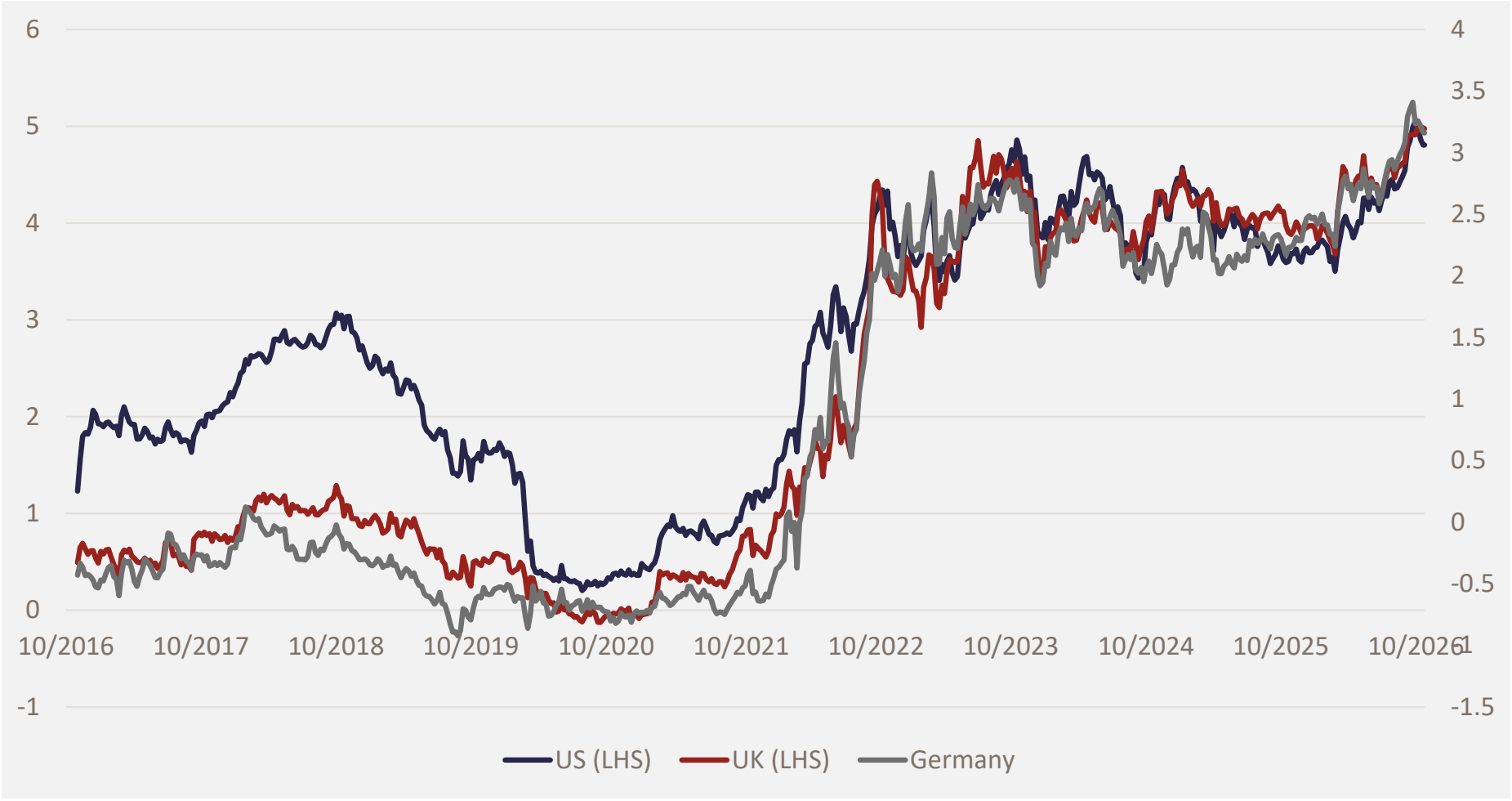
Bloomberg page BOE shows key data



Source: Bloomberg LLP, BOE, September 2026

CLOSE CORRELATION

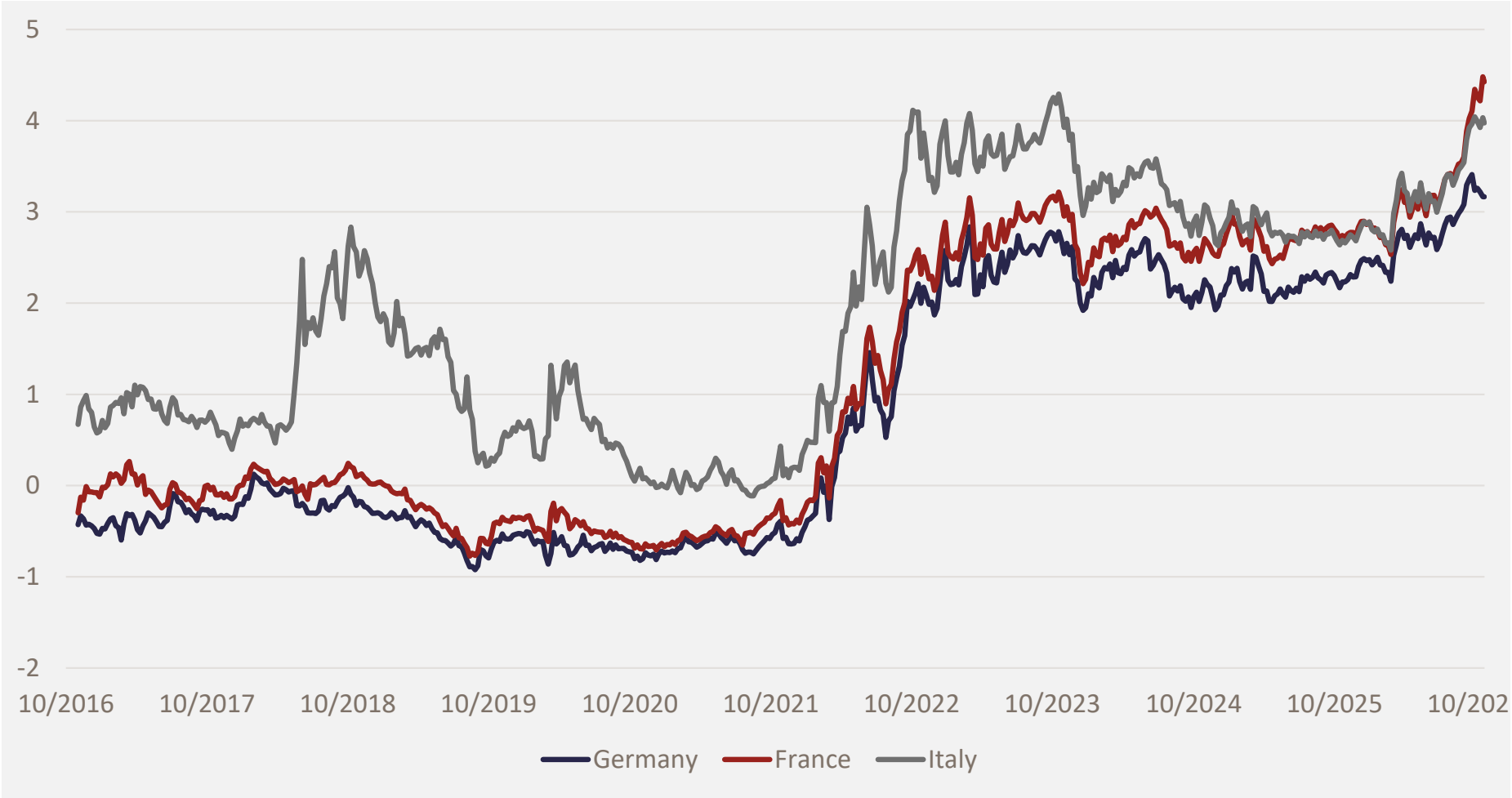
Global rate markets swing in harmony (5years government bonds)



Source: Bloomberg LLP, October 2026

EUROZONE LACKS COHERENCY

Domestic ‘flavour’ fuels volatility

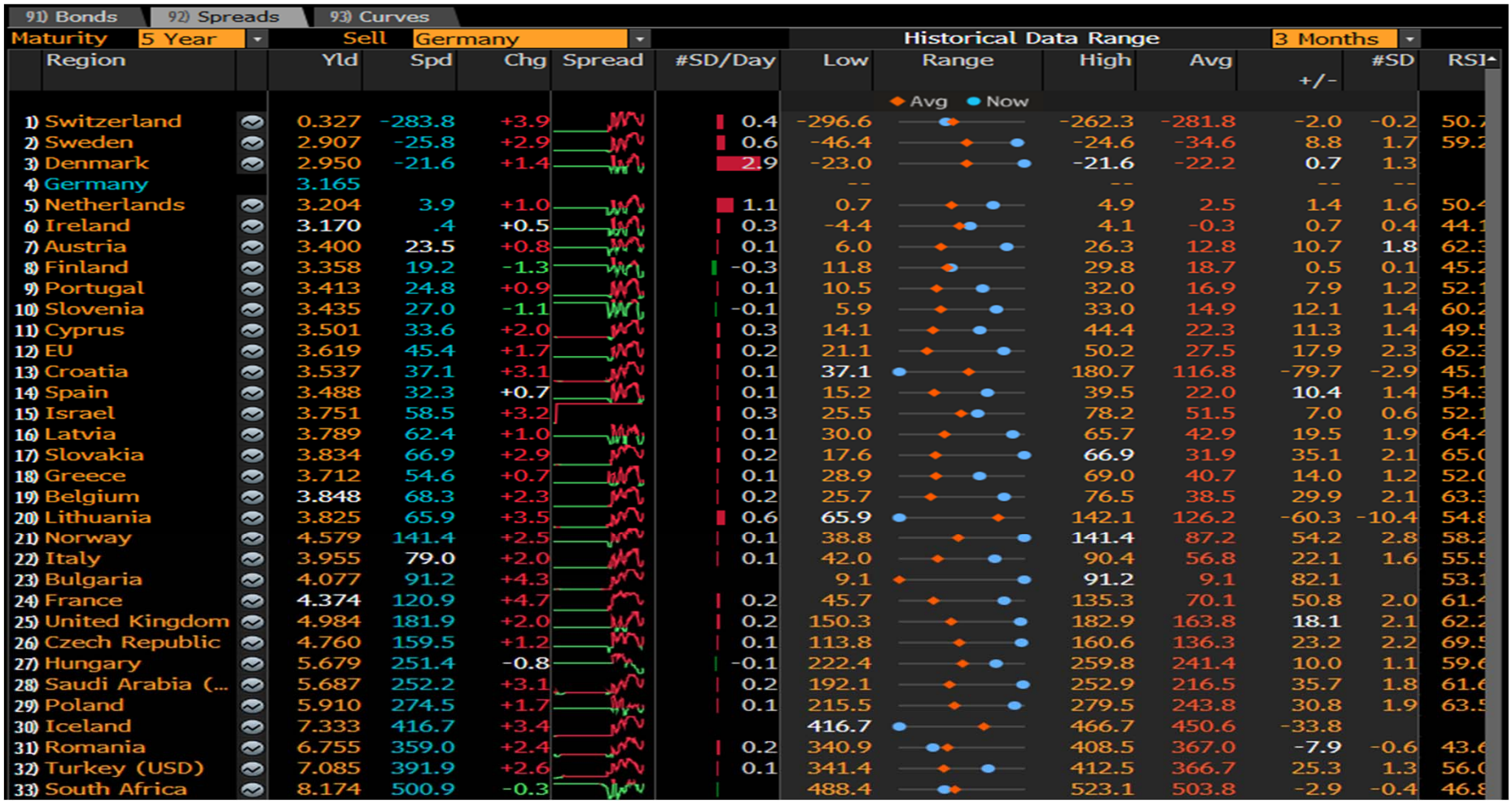


Source: Bloomberg LLP, October 2026

THE WORLD FROM THE GERMANY PERSPECTIVE

CAIM | CROWN AGENTS INVESTMENT MANAGEMENT

From ‘Paella’ to ‘Reindeer stew’



91) Bonds 92) Spreads 93) Curves

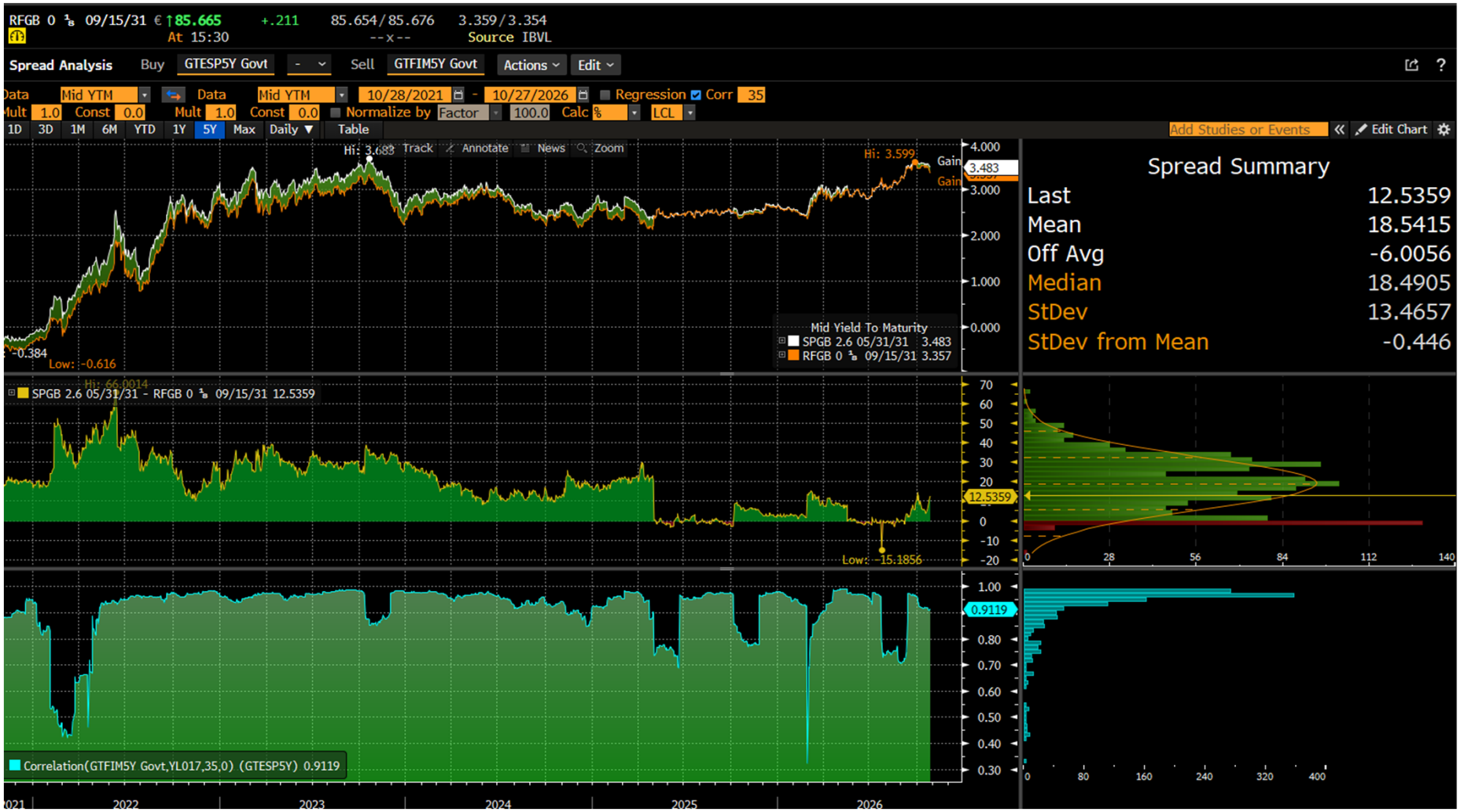
Maturity 5 Year | Sell Germany | Historical Data Range 3 Months

Region	Yld	Spd	Chg	Spread	#SD/Day	Low	Range (Avg / Now)	High	Avg	+/-	#SD	RSI
1) Switzerland	0.327	-283.8	+3.9		0.4	-296.6		-262.3	-281.8	-2.0	-0.2	50.7
2) Sweden	2.907	-25.8	+2.9		0.6	-46.4		-24.6	-34.6	8.8	1.7	59.2
3) Denmark	2.950	-21.6	+1.4		2.9	-23.0		-21.6	-22.2	0.7	1.3	
4) Germany	3.165					--		--		--	--	
5) Netherlands	3.204	3.9	+1.0		1.1	0.7		4.9	2.5	1.4	1.6	50.4
6) Ireland	3.170	.4	+0.5		0.3	-4.4		4.1	-0.3	0.7	0.4	44.1
7) Austria	3.400	23.5	+0.8		0.1	6.0		26.3	12.8	10.7	1.8	62.3
8) Finland	3.358	19.2	-1.3		-0.3	11.8		29.8	18.7	0.5	0.1	45.2
9) Portugal	3.413	24.8	+0.9		0.1	10.5		32.0	16.9	7.9	1.2	52.1
10) Slovenia	3.435	27.0	-1.1		-0.1	5.9		33.0	14.9	12.1	1.4	60.2
11) Cyprus	3.501	33.6	+2.0		0.3	14.1		44.4	22.3	11.3	1.4	49.5
12) EU	3.619	45.4	+1.7		0.2	21.1		50.2	27.5	17.9	2.3	62.3
13) Croatia	3.537	37.1	+3.1		0.1	37.1		180.7	116.8	-79.7	-2.9	45.1
14) Spain	3.488	32.3	+0.7		0.1	15.2		39.5	22.0	10.4	1.4	54.3
15) Israel	3.751	58.5	+3.2		0.3	25.5		78.2	51.5	7.0	0.6	52.1
16) Latvia	3.789	62.4	+1.0		0.1	30.0		65.7	42.9	19.5	1.9	64.4
17) Slovakia	3.834	66.9	+2.9		0.2	17.6		66.9	31.9	35.1	2.1	65.0
18) Greece	3.712	54.6	+0.7		0.1	28.9		69.0	40.7	14.0	1.2	52.0
19) Belgium	3.848	68.3	+2.3		0.2	25.7		76.5	38.5	29.9	2.1	63.3
20) Lithuania	3.825	65.9	+3.5		0.6	65.9		142.1	126.2	-60.3	-10.4	54.8
21) Norway	4.579	141.4	+2.5		0.1	38.8		141.4	87.2	54.2	2.8	58.2
22) Italy	3.955	79.0	+2.0		0.1	42.0		90.4	56.8	22.1	1.6	55.5
23) Bulgaria	4.077	91.2	+4.3			9.1		91.2	9.1	82.1		53.1
24) France	4.374	120.9	+4.7		0.2	45.7		135.3	70.1	50.8	2.0	61.4
25) United Kingdom	4.984	181.9	+2.0		0.2	150.3		182.9	163.8	18.1	2.1	62.2
26) Czech Republic	4.760	159.5	+1.2		0.1	113.8		160.6	136.3	23.2	2.2	69.5
27) Hungary	5.679	251.4	-0.8		-0.1	222.4		259.8	241.4	10.0	1.1	59.6
28) Saudi Arabia (...	5.687	252.2	+3.1		0.2	192.1		252.9	216.5	35.7	1.8	61.6
29) Poland	5.910	274.5	+1.7		0.1	215.5		279.5	243.8	30.8	1.9	63.5
30) Iceland	7.333	416.7	+3.4			416.7		466.7	450.6	-33.8		
31) Romania	6.755	359.0	+2.4		0.2	340.9		408.5	367.0	-7.9	-0.6	43.6
32) Turkey (USD)	7.085	391.9	+2.6		0.1	341.4		412.5	366.7	25.3	1.3	56.0
33) South Africa	8.174	500.9	-0.3			488.4		523.1	503.8	-2.9	-0.4	46.8

Source: Bloomberg LLP, October 2026
|Bloomberg function “ WB “ “ EMEA”

SPREAD ANALYSIS

There is a lot more under the surface



Source: Bloomberg LLP, October 2026
|Bloomberg function " SS'

SOVEREIGN STRESS MONITOR

Not always the best tool but always a good guide

	N	Name (5Y CDS)	Spread	Change	#SD	Historical Range 3 Months: Low	Avg	Now	High	Avg	+/-	3M Chg
		Americas										
9)	N	United States	47.88	+0.08	+0.1	35.9			47.9	40.3	+7.6	+6.8
10)	N	Brazil	134.06	+0.01	--	109.3			142.3	121.7	+12.3	+8.4
11)	N	Colombia	161.53	-0.10	--	137.1			179.2	153.0	+8.5	+14.8
12)	N	Mexico	95.82	+0.00	--	79.6			102.7	87.6	+8.2	+8.3
13)	N	Canada	20.87	-0.37	-1.2	15.7			21.3	17.7	+3.2	+4.4
		EMEA										
19)	N	United Kingdom	28.89	-0.07	-0.1	18.8			29.4	22.1	+6.8	+9.3
20)	N	France	100.11	-0.77	-0.2	32.0			106.2	53.6	+46.5	+66.3
21)	N	Germany	14.47	+0.15	+0.5	7.5			14.5	9.9	+4.6	+6.2
22)	N	Italy	74.83	-0.11	--	30.5			78.4	44.8	+30.0	+43.1
23)	N	Spain	35.39	-0.28	-0.3	16.4			35.7	21.9	+13.5	+17.8
24)	N	Portugal	26.29	-0.15	-0.3	15.3			26.8	18.9	+7.4	+10.1
25)	N	Sweden	11.02	+0.12	+0.4	7.0			11.1	8.7	+2.4	+2.8
26)	N	Netherlands	15.12	+0.37	+1.2	8.5			15.1	10.7	+4.4	+6.3
27)	N	Switzerland	8.60	-0.16	-0.8	8.4			10.1	9.4	-0.8	-1.0
28)	N	Greece	55.57	+0.68	+0.6	29.9			55.6	37.9	+17.7	+24.3
		Asia/Pacific										
29)	N	Japan	31.08	-0.04	-0.1	23.4			31.2	27.2	+3.8	+3.4
30)	N	Australia	19.20	-0.07	-0.1	14.2			19.3	15.8	+3.4	+4.5
31)	N	New Zealand	17.90	+0.01	+0.1	16.7			18.3	17.2	+0.7	+1.0
32)	N	South Korea	25.14	-0.51	-1.5	21.1			26.1	23.3	+1.8	+1.8
33)	N	China	38.24	-0.61	-1.4	33.3			39.5	36.4	+1.9	-0.2

Source: Bloomberg LLP, October 2026
Bloomberg function " SOVR'

EUROPE'S UNIQUE PROFILE

SOME EUROPEAN SUPRA / AGENCY ISSUERS





















EUROPE OFFERS UNIQUE VERITY

There is always an issue which matches inventors' preferences



Source: Bloomberg LLP, October 2026
|Bloomberg function " FIW'

MOST MARKETS LINKED BY THE “XCCY” LINK

CAIM | CROWN AGENTS INVESTMENT MANAGEMENT

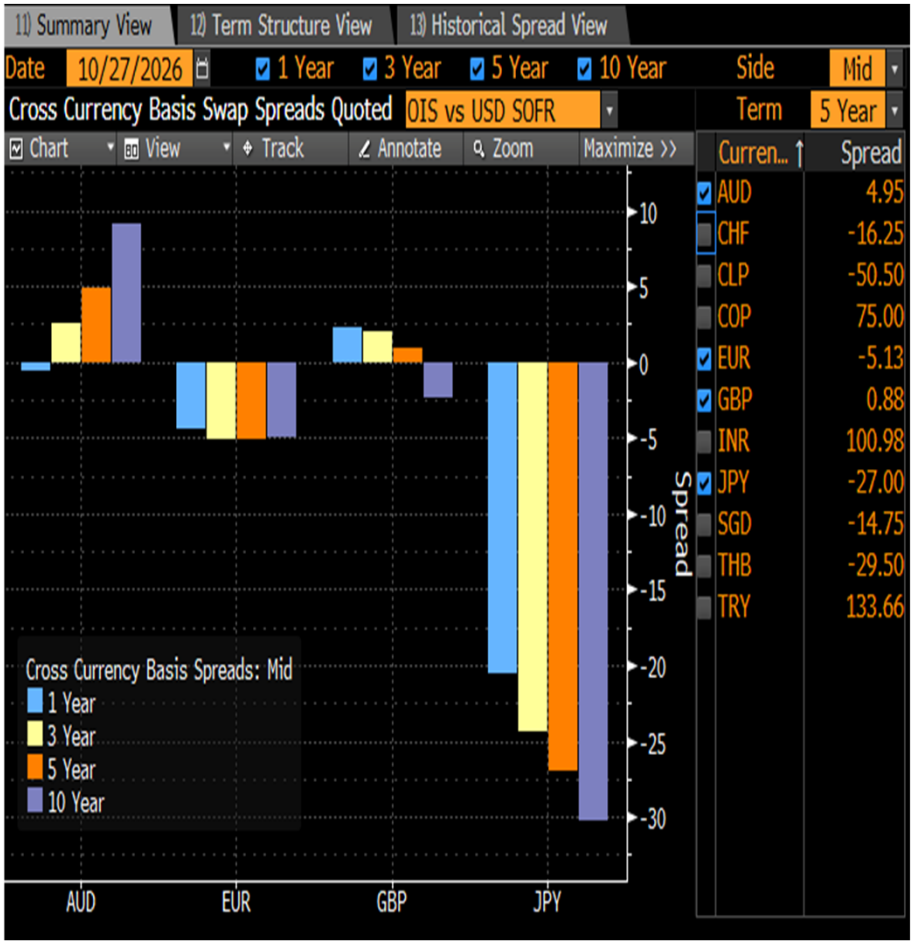
The US Dollar is not the only alternative leftt

The US Dollar issue



Source: Bloomberg LLP, October 2026

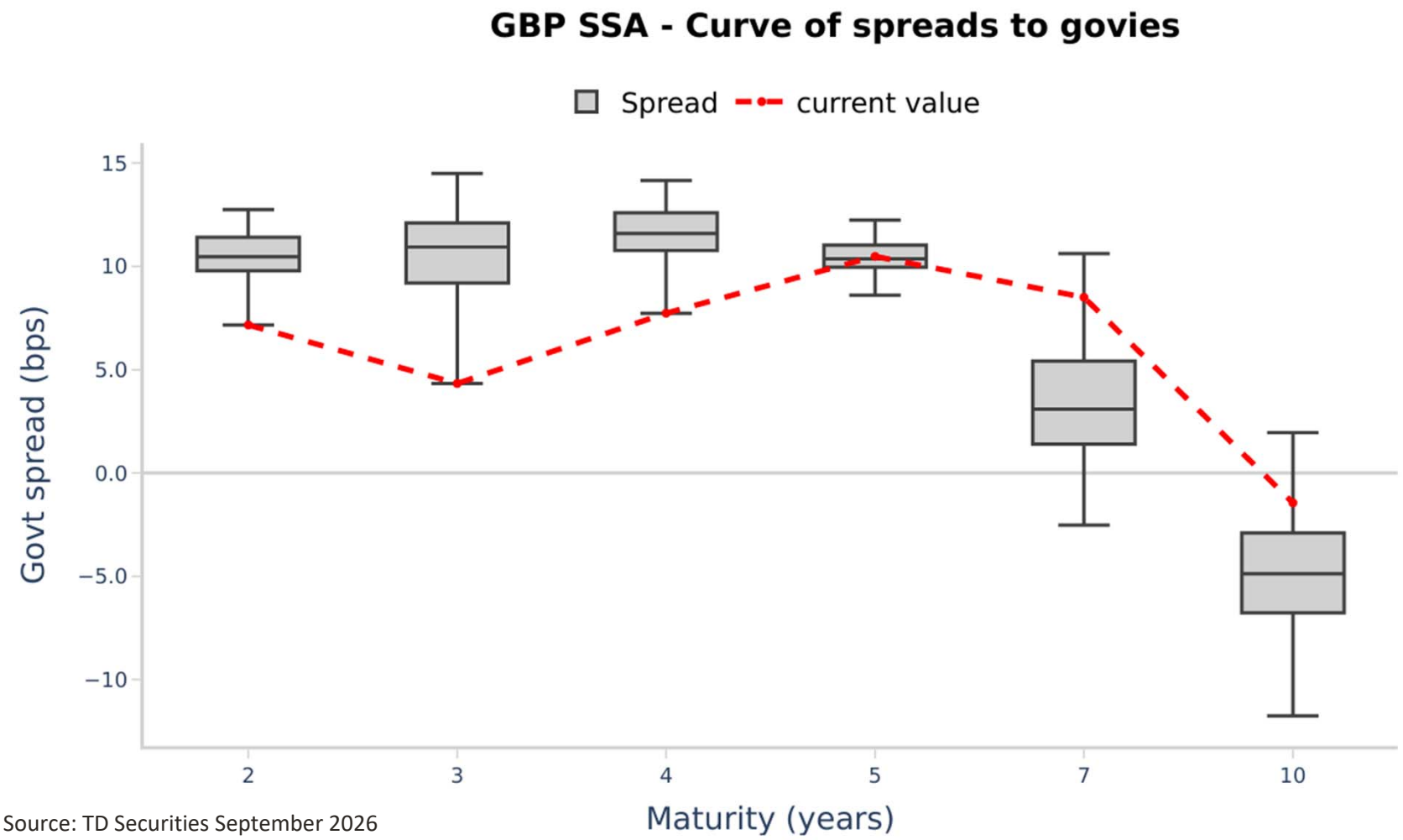
And its link to the other markets



Source: Bloomberg LLP, October 2026

GBP SSA SPREADS VERSUS GILTS

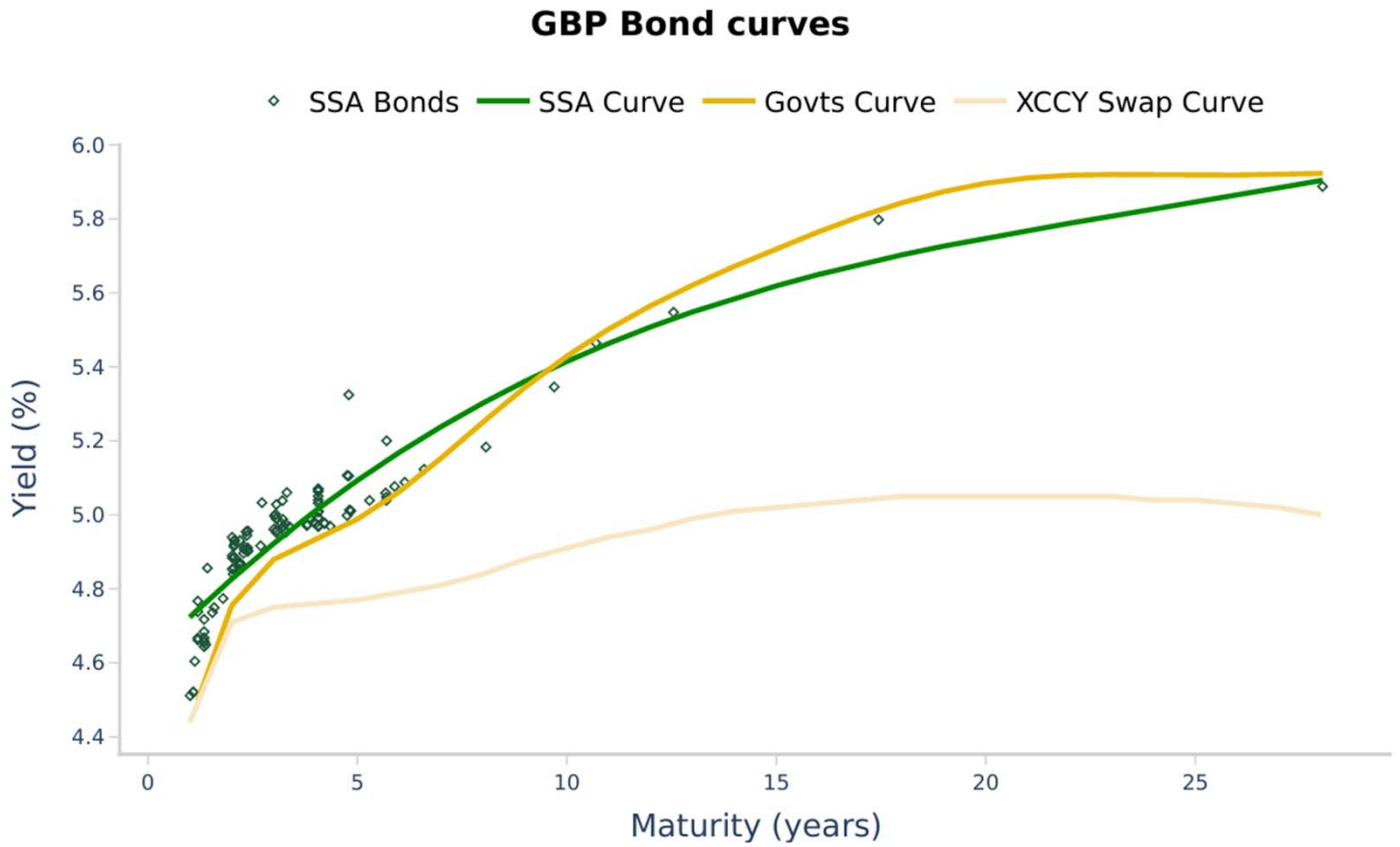
Narrow spreads versus Gilts due to swap spreads



Source: TD Securities September 2026

UK GILTS VERSUS SSA YIELD CURVE

SSA spreads remain at historically low levels



Source: TD Securities September 2026

DISCLAIMER

This communication is intended for professional clients and eligible counterparties only. Past performance is not a reliable indicator of future results. Performance results are calculated before management fees and after trading expenses. Information contained in this publication is compiled from industry sources which we consider to be accurate and reliable.

There is no representation or warranty of any kind, whether express or implied, regarding the accuracy or completeness of the information given. The information provided does not constitute advice and it should not be relied on as such.

Any views or opinions expressed are those of Crown Agents Investment Management Ltd and are subject to change due to market and other conditions and should not be taken as statements of policy or intent.

CAIM (Company Registration No. 02169973) has its registered office at 3 More London Riverside, London SE1 2AQ. CAIM is authorised and regulated by the Financial Conduct Authority. ©CAIM 2023.

Vat Reg No: GB 377 614565.
Authorised and regulated by the Financial Conduct Authority (Financial Services Register number: 119207)

CAIM | CROWN AGENTS INVESTMENT MANAGEMENT

www.caiml.com
CAIMLenquiries@caiml.com

3 More London Riverside
London SE1 2AQ
United Kingdom

T: +44 (0)20 7489 7223

Authorised and regulated by the Financial Conduct Authority in the UK (Financial Services Register number: 119207)